Budget vs Actual Analysis, Financial Year 2025

Illustrative sportswear company with three product lines. $ thousands unless stated.

Purpose	Compare actual 2025 results with the budget, measure revenue, expense, profit and percentage variances, and explain the major deviations.
Headline	Revenue +3.2% vs budget, operating profit -2.0%: sold more, made less.
Sheets	
Summary	Full-year variance table with materiality flags, and the operating profit bridge with waterfall chart
Commentary	The major deviations, why they happened and what to do
Revenue Analysis	Revenue variance split into price and volume, and revenue mix
Cost Analysis	Cost of sales split into volume and unit-cost effects (flexible budget), and operating expenses
Monthly	Month-by-month variances, year-to-date profit variance and charts
Budget / Actual	Monthly P&L inputs (units, prices, unit costs, expenses)
Checks	Reconciliations; should say OK
Sign convention	Positive variance = favourable (more revenue or less cost than budget). Negative = unfavourable.
Materiality	A line is flagged when its variance is at least 5% and at least $100k (both editable on the Summary sheet, yellow cells).
Colour key	Blue = input, black = formula, green = link to another sheet, yellow = key assumption
Checks status	**OK**

Budget vs Actual: Full Year 2025

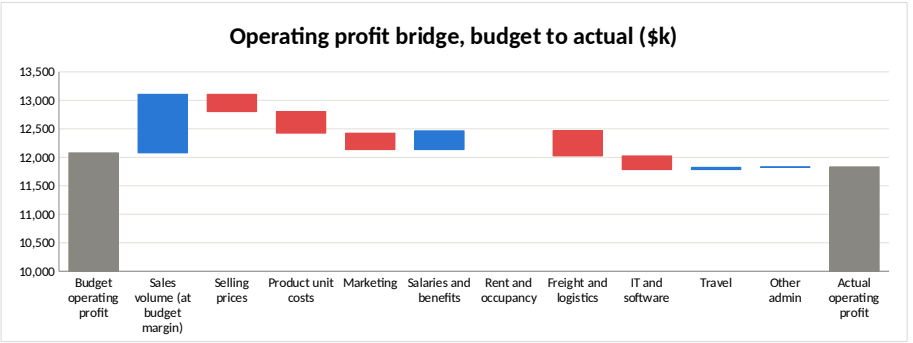
Illustrative sportswear company, $ thousands. Variance is shown so that positive = favourable (better than budget) and negative = unfavourable.

Materiality: flag if |variance %| is at least	5%
and |variance| is at least ($k)	100

$ thousands	Budget	Actual	Variance F/(U)	Variance %	Status
Revenue: Running Shoes	23,180	23,196	16	0.1%	Favourable
Revenue: Apparel	17,080	18,925	1,845	10.8%	Favourable: review
Revenue: Accessories	6,710	6,341	(369)	(5.5%)	Adverse: investigate
Total revenue	46,970	48,462	**1,492**	**3.2%**	**Favourable**
Cost of sales: Running Shoes	10,248	10,633	(385)	(3.8%)	Unfavourable
Cost of sales: Apparel	7,259	8,043	(784)	(10.8%)	Adverse: investigate
Cost of sales: Accessories	2,440	2,416	24	1.0%	Favourable
Total cost of sales	19,947	21,093	**(1,146)**	**(5.7%)**	**Adverse: investigate**
Gross profit	27,023	27,369	**346**	**1.3%**	**Favourable**
Gross margin %	57.5%	56.5%	-1.1 pts		
Marketing	2,806	3,095	(289)	(10.3%)	Adverse: investigate
Salaries and benefits	6,240	5,910	330	5.3%	Favourable: review
Rent and occupancy	2,160	2,160	-	-	On budget
Freight and logistics	1,879	2,320	(441)	(23.5%)	Adverse: investigate
IT and software	720	960	(240)	(33.3%)	Adverse: investigate
Travel	300	260	40	13.2%	Favourable
Other admin	840	831	9	1.0%	Favourable
Total operating expenses	14,945	15,536	**(592)**	**(4.0%)**	**Unfavourable**
Operating profit	12,078	11,833	**(245)**	**(2.0%)**	**Unfavourable**
Operating margin %	25.7%	24.4%	-1.3 pts		

Operating profit bridge: budget to actual

Step	Impact F/(U)	Running total	Chart helper: base	Increase	Decrease
Budget operating profit	12,078	12,078	-	*12,078*	-
Sales volume (at budget margin)	1,029	13,107	*12,078*	*1,029*	-
Selling prices	(304)	12,803	*12,803*	-	*304*
Product unit costs	(378)	12,425	*12,425*	-	*378*
Marketing	(289)	12,135	*12,135*	-	*289*
Salaries and benefits	330	12,465	*12,135*	*330*	-
Rent and occupancy	-	12,465	*12,465*	-	-
Freight and logistics	(441)	12,025	*12,025*	-	*441*
IT and software	(240)	11,785	*11,785*	-	*240*
Travel	40	11,824	*11,785*	*40*	-
Other admin	9	11,833	*11,824*	*9*	-
Actual operating profit	11,833	11,833	-	*11,833*	-
Bridge check (should be 0)	-				



Variance Commentary: the major deviations and why they happened

Amounts link to the analysis sheets, so they update if the data changes. The explanations describe the events built into this illustrative data.

Area	Variance F/(U) $k	Variance %	What happened	Recommended action
Apparel sales volume	1,845	10.8%	The spring marketing campaign (March to May) lifted Apparel unit sales by about 18% from March to July, and they stayed about 8% above budget for the rest of the year. Apparel added most of the revenue upside.	Keep the campaign format; build the higher Apparel run-rate into next year's budget.
Marketing	(289)	(10.3%)	The campaign cost about 40% more than budgeted marketing in March to May. It paid back: Apparel gross margin from the extra volume was well above the extra spend.	Approve campaign spend through a business case so the overspend is planned rather than reported after the event.
Running Shoes unit cost	(378)		The main footwear supplier raised prices by 6% from June. Selling prices were not changed, so the whole increase came out of margin.	Renegotiate or dual-source; consider a price rise on the next season's range.
Freight and logistics	(441)	(23.5%)	Shipping rates rose in the second half, taking freight from 4.0% to about 5.5% of revenue from July.	Lock in contract rates; review whether the budget's 4% of revenue assumption is still realistic.
Accessories selling price	(304)	(4.6%)	A 15% discount in October to December lifted Accessories volume by only about 5%, so the discount lost more revenue than it gained.	Do not repeat broad discounting; use targeted promotions and measure their uplift.
IT and software	(240)	(33.3%)	A one-off $240k ERP upgrade in September was not in the budget.	One-off: exclude from run-rate. Add a capital projects line to next year's budget.
Salaries and benefits	330	5.3%	Planned hires were delayed until mid-year, so salaries were below budget from January to June. This is a timing saving, not a lasting one.	Treat as timing; the full cost is in the run-rate from July.

Overall

Revenue was 1,492k (3.2%) above budget, but operating profit was 245k (2.0%) below budget.

The company sold more but made less: higher volumes were more than offset by higher unit costs, discounting, freight and one-off IT spend.

Operating margin fell from 25.7% (budget) to 24.4%. The IT project is one-off and the salary saving was only timing, but the supplier price rise and higher freight rates are likely to continue, so next year needs action on pricing and costs.

Revenue Analysis: price and volume

Revenue variance split into volume (selling more or fewer units, at budget price) and price (selling at a different price). Positive = favourable.

Product	Budget units (k)	Actual units (k)	Volume %	Budget avg price	Actual avg price	Price %	Budget revenue	Actual revenue	Volume variance	Price variance	Total variance	Check
Running Shoes	244.0	244.2	0.1%	$95.00	$95.00	-	23,180	23,196	16	-	16	-
Apparel	427.0	473.1	10.8%	$40.00	$40.00	-	17,080	18,925	1,845	-	1,845	-
Accessories	305.0	302.0	(1.0%)	$22.00	$20.99	(4.6%)	6,710	6,341	(65)	(304)	(369)	-
Total	**976.0**	**1,019.3**	4.4%				**46,970**	**48,462**	**1,796**	**(304)**	**1,492**	**-**

Volume variance = (actual units - budget units) x budget price. Price variance = (actual price - budget price) x actual units. Both are calculated month by month and added up.

Revenue mix

Product	Budget mix	Actual mix	Change (pts)
Running Shoes	49.4%	47.9%	-1.5 pts
Apparel	36.4%	39.1%	+2.7 pts
Accessories	14.3%	13.1%	-1.2 pts

Cost Analysis

Cost of sales split into volume and unit-cost effects, a flexible budget, and operating expenses. Positive = favourable (spent less than budget).

Cost of sales	Budget	Flexed budget (actual units at budget cost)	Actual	Volume effect F/(U)	Unit cost effect F/(U)	Total variance F/(U)	Check
Running Shoes	10,248	10,255	10,633	(7)	(378)	(385)	-
Apparel	7,259	8,043	8,043	(784)	-	(784)	-
Accessories	2,440	2,416	2,416	24	-	24	-
Total cost of sales	**19,947**	**20,715**	**21,093**	**(768)**	**(378)**	**(1,146)**	**-**

The volume effect is not a real overspend: selling more units costs more. The unit cost effect is the true cost overrun (actual units x (actual cost - budget cost)).

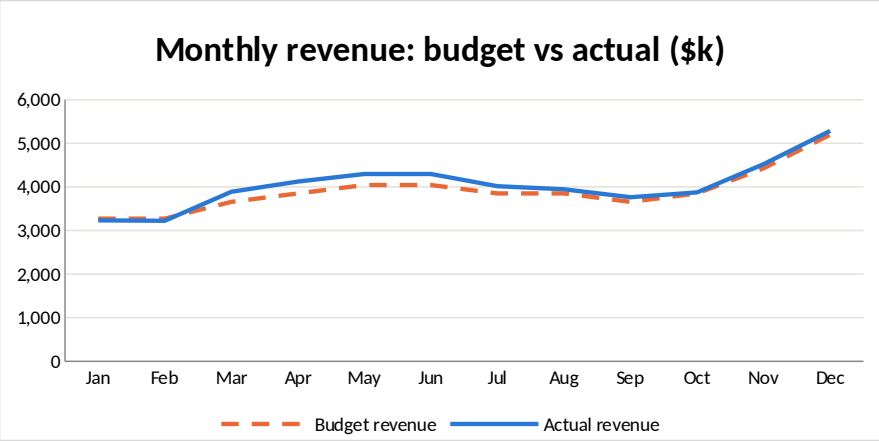
Operating expenses

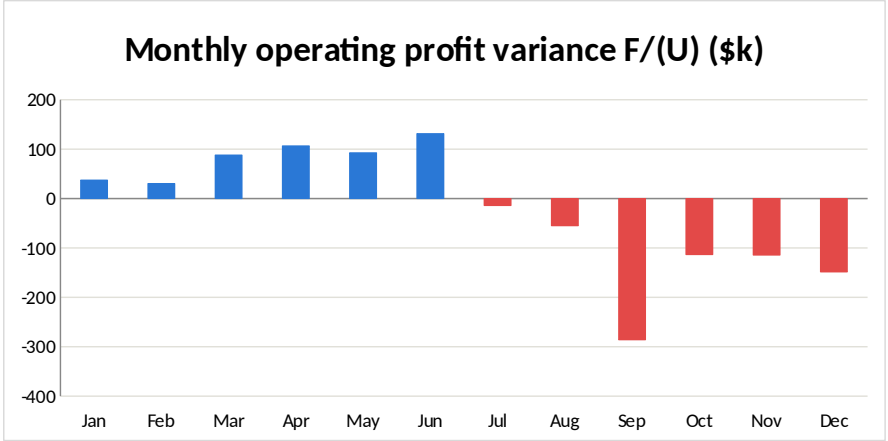
Expense	Budget	Actual	Variance F/(U)	Variance %	Budget % of revenue	Actual % of revenue	Status
Marketing	2,806	3,095	(289)	(10.3%)	6.0%	6.4%	Adverse: investigate
Salaries and benefits	6,240	5,910	330	5.3%	13.3%	12.2%	Favourable: review
Rent and occupancy	2,160	2,160	-	-	4.6%	4.5%	On budget
Freight and logistics	1,879	2,320	(441)	(23.5%)	4.0%	4.8%	Adverse: investigate
IT and software	720	960	(240)	(33.3%)	1.5%	2.0%	Adverse: investigate
Travel	300	260	40	13.2%	0.6%	0.5%	Favourable
Other admin	840	831	9	1.0%	1.8%	1.7%	Favourable
Total operating expenses	14,945	15,536	(592)	(4.0%)	31.8%	32.1%	Unfavourable

Monthly Variance Trend

Monthly budget vs actual, $ thousands. Positive variance = favourable.

$ thousands	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	FY 2025
Budget revenue	3,273	3,273	3,658	3,850	4,043	4,043	3,850	3,850	3,658	3,850	4,428	5,198	46,970
Actual revenue	3,233	3,222	3,888	4,123	4,296	4,295	4,017	3,945	3,763	3,874	4,523	5,284	48,462
Revenue variance F/(U)	**(39)**	**(51)**	**231**	**273**	**253**	**253**	**167**	**95**	**106**	**24**	**95**	**86**	**1,492**
Revenue variance %	**(1.2%)**	**(1.5%)**	**6.3%**	**7.1%**	**6.3%**	**6.2%**	**4.3%**	**2.5%**	**2.9%**	**0.6%**	**2.1%**	**1.7%**	**3.2%**
Budget operating expenses	1,181	1,181	1,220	1,239	1,258	1,258	1,239	1,239	1,220	1,239	1,297	1,373	14,945
Actual operating expenses	1,121	1,121	1,263	1,287	1,309	1,217	1,299	1,297	1,518	1,282	1,367	1,456	15,536
Opex variance F/(U)	**61**	**60**	**(43)**	**(48)**	**(51)**	**41**	**(60)**	**(58)**	**(298)**	**(43)**	**(70)**	**(82)**	**(592)**
Budget operating profit	701	701	884	976	1,068	1,068	976	976	884	976	1,251	1,617	12,078
Actual operating profit	739	732	973	1,083	1,160	1,199	962	921	598	862	1,136	1,468	11,833
Operating profit variance F/(U)	**37**	**30**	**88**	**107**	**93**	**131**	**(14)**	**(55)**	**(286)**	**(114)**	**(115)**	**(149)**	**(245)**
Cumulative (YTD) profit variance	**37**	**68**	**156**	**263**	**355**	**487**	**473**	**418**	**131**	**18**	**(97)**	**(245)**	**(245)**
Budget gross margin %	57.5%	57.5%	57.5%	57.5%	57.5%	57.5%	57.5%	57.5%	57.5%	57.5%	57.5%	57.5%	57.5%
Actual gross margin %	57.5%	57.5%	57.5%	57.5%	57.5%	56.3%	56.3%	56.2%	56.2%	55.4%	55.3%	55.3%	56.5%
Chart helper: favourable	*37*	*30*	*88*	*107*	*93*	*131*	-	-	-	-	-	-	
Chart helper: unfavourable	-	-	-	-	-	-	*(14)*	*(55)*	*(286)*	*(114)*	*(115)*	*(149)*	





Budget: monthly P&L, 2025

Units in thousands, prices and unit costs in $, all other amounts in $ thousands. Blue = input.

$ thousands	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	FY 2025
Volumes, prices and unit costs													
Running Shoes units (k)	17.0	17.0	19.0	20.0	21.0	21.0	20.0	20.0	19.0	20.0	23.0	27.0	**244.0**
Running Shoes selling price ($)	$95.00	$95.00	$95.00	$95.00	$95.00	$95.00	$95.00	$95.00	$95.00	$95.00	$95.00	$95.00	**$95.00**
Running Shoes unit cost ($)	$42.00	$42.00	$42.00	$42.00	$42.00	$42.00	$42.00	$42.00	$42.00	$42.00	$42.00	$42.00	**$42.00**
Apparel units (k)	29.8	29.8	33.3	35.0	36.8	36.8	35.0	35.0	33.3	35.0	40.3	47.3	**427.0**
Apparel selling price ($)	$40.00	$40.00	$40.00	$40.00	$40.00	$40.00	$40.00	$40.00	$40.00	$40.00	$40.00	$40.00	**$40.00**
Apparel unit cost ($)	$17.00	$17.00	$17.00	$17.00	$17.00	$17.00	$17.00	$17.00	$17.00	$17.00	$17.00	$17.00	**$17.00**
Accessories units (k)	21.3	21.3	23.8	25.0	26.3	26.3	25.0	25.0	23.8	25.0	28.8	33.8	**305.0**
Accessories selling price ($)	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00	**$22.00**
Accessories unit cost ($)	$8.00	$8.00	$8.00	$8.00	$8.00	$8.00	$8.00	$8.00	$8.00	$8.00	$8.00	$8.00	**$8.00**
Income statement													
Revenue: Running Shoes	1,615	1,615	1,805	1,900	1,995	1,995	1,900	1,900	1,805	1,900	2,185	2,565	**23,180**
Revenue: Apparel	1,190	1,190	1,330	1,400	1,470	1,470	1,400	1,400	1,330	1,400	1,610	1,890	**17,080**
Revenue: Accessories	468	468	523	550	578	578	550	550	523	550	633	743	**6,710**
Total revenue	**3,273**	**3,273**	**3,658**	**3,850**	**4,043**	**4,043**	**3,850**	**3,850**	**3,658**	**3,850**	**4,428**	**5,198**	**46,970**
Cost of sales: Running Shoes	714	714	798	840	882	882	840	840	798	840	966	1,134	**10,248**
Cost of sales: Apparel	506	506	565	595	625	625	595	595	565	595	684	803	**7,259**
Cost of sales: Accessories	170	170	190	200	210	210	200	200	190	200	230	270	**2,440**
Total cost of sales	**1,390**	**1,390**	**1,553**	**1,635**	**1,717**	**1,717**	**1,635**	**1,635**	**1,553**	**1,635**	**1,880**	**2,207**	**19,947**
Gross profit	**1,883**	**1,883**	**2,104**	**2,215**	**2,326**	**2,326**	**2,215**	**2,215**	**2,104**	**2,215**	**2,547**	**2,990**	**27,023**
Gross margin %	57.5%	57.5%	57.5%	57.5%	57.5%	57.5%	57.5%	57.5%	57.5%	57.5%	57.5%	57.5%	**57.5%**
Marketing	196	196	219	230	242	242	230	230	219	230	265	311	**2,806**
Salaries and benefits	520	520	520	520	520	520	520	520	520	520	520	520	**6,240**
Rent and occupancy	180	180	180	180	180	180	180	180	180	180	180	180	**2,160**
Freight and logistics	131	131	146	154	162	162	154	154	146	154	177	208	**1,879**
IT and software	60	60	60	60	60	60	60	60	60	60	60	60	**720**
Travel	25	25	25	25	25	25	25	25	25	25	25	25	**300**
Other admin	70	70	70	70	70	70	70	70	70	70	70	70	**840**
Total operating expenses	**1,181**	**1,181**	**1,220**	**1,239**	**1,258**	**1,258**	**1,239**	**1,239**	**1,220**	**1,239**	**1,297**	**1,373**	**14,945**
Operating profit	**701**	**701**	**884**	**976**	**1,068**	**1,068**	**976**	**976**	**884**	**976**	**1,251**	**1,617**	**12,078**
Operating margin %	21.4%	21.4%	24.2%	25.4%	26.4%	26.4%	25.4%	25.4%	24.2%	25.4%	28.2%	31.1%	**25.7%**

Actual: monthly P&L, 2025

Units in thousands, prices and unit costs in $, all other amounts in $ thousands. Blue = input.

$ thousands	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	FY 2025
Volumes, prices and unit costs													
Running Shoes units (k)	16.9	16.7	18.9	20.4	21.3	21.3	19.7	20.1	19.1	19.7	23.2	27.1	**244.2**
Running Shoes selling price ($)	$95.00	$95.00	$95.00	$95.00	$95.00	$95.00	$95.00	$95.00	$95.00	$95.00	$95.00	$95.00	**$95.00**
Running Shoes unit cost ($)	$42.00	$42.00	$42.00	$42.00	$42.00	$44.52	$44.52	$44.52	$44.52	$44.52	$44.52	$44.52	**$43.55**
Apparel units (k)	29.3	29.8	39.8	41.4	43.0	42.8	40.6	37.7	36.0	37.7	43.9	51.2	**473.1**
Apparel selling price ($)	$40.00	$40.00	$40.00	$40.00	$40.00	$40.00	$40.00	$40.00	$40.00	$40.00	$40.00	$40.00	**$40.00**
Apparel unit cost ($)	$17.00	$17.00	$17.00	$17.00	$17.00	$17.00	$17.00	$17.00	$17.00	$17.00	$17.00	$17.00	**$17.00**
Accessories units (k)	20.7	20.2	22.7	24.2	25.1	25.6	24.0	24.1	23.4	26.5	30.3	35.4	**302.0**
Accessories selling price ($)	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00	$18.70	$18.70	$18.70	**$20.99**
Accessories unit cost ($)	$8.00	$8.00	$8.00	$8.00	$8.00	$8.00	$8.00	$8.00	$8.00	$8.00	$8.00	$8.00	**$8.00**
Income statement													
Revenue: Running Shoes	1,604	1,587	1,799	1,934	2,024	2,021	1,867	1,907	1,811	1,871	2,199	2,575	**23,196**
Revenue: Apparel	1,173	1,190	1,590	1,657	1,720	1,712	1,623	1,509	1,438	1,507	1,757	2,048	**18,925**
Revenue: Accessories	456	445	499	531	552	562	527	529	514	496	566	662	**6,341**
Total revenue	**3,233**	**3,222**	**3,888**	**4,123**	**4,296**	**4,295**	**4,017**	**3,945**	**3,763**	**3,874**	**4,523**	**5,284**	**48,462**
Cost of sales: Running Shoes	709	701	795	855	895	947	875	894	849	877	1,031	1,206	**10,633**
Cost of sales: Apparel	499	506	676	704	731	728	690	641	611	641	747	870	**8,043**
Cost of sales: Accessories	166	162	182	193	201	204	192	192	187	212	242	283	**2,416**
Total cost of sales	**1,373**	**1,369**	**1,653**	**1,753**	**1,826**	**1,879**	**1,756**	**1,727**	**1,647**	**1,729**	**2,020**	**2,360**	**21,093**
Gross profit	**1,860**	**1,853**	**2,236**	**2,370**	**2,469**	**2,416**	**2,260**	**2,218**	**2,116**	**2,144**	**2,503**	**2,924**	**27,369**
Gross margin %	57.5%	57.5%	57.5%	57.5%	57.5%	56.3%	56.3%	56.2%	56.2%	55.4%	55.3%	55.3%	**56.5%**
Marketing	191	195	306	322	338	244	233	234	222	225	271	317	**3,095**
Salaries and benefits	470	470	470	470	470	470	515	515	515	515	515	515	**5,910**
Rent and occupancy	180	180	180	180	180	180	180	180	180	180	180	180	**2,160**
Freight and logistics	129	129	156	165	172	172	221	217	207	213	249	291	**2,320**
IT and software	60	60	60	60	60	60	60	60	300	60	60	60	**960**
Travel	22	20	21	24	20	21	22	23	21	22	21	24	**260**
Other admin	69	67	71	67	69	70	69	68	73	67	71	70	**831**
Total operating expenses	**1,121**	**1,121**	**1,263**	**1,287**	**1,309**	**1,217**	**1,299**	**1,297**	**1,518**	**1,282**	**1,367**	**1,456**	**15,536**
Operating profit	**739**	**732**	**973**	**1,083**	**1,160**	**1,199**	**962**	**921**	**598**	**862**	**1,136**	**1,468**	**11,833**
Operating margin %	22.8%	22.7%	25.0%	26.3%	27.0%	27.9%	23.9%	23.3%	15.9%	22.3%	25.1%	27.8%	**24.4%**

Checks

Every check should be 0. Data totals are the sums of the raw CSV files.

Check	Difference
Budget revenue agrees to data	-
Actual revenue agrees to data	-
Budget opex agrees to data	-
Actual opex agrees to data	-
Price + volume = revenue variance	-
Volume + unit cost = cost of sales variance	-
Profit bridge adds up to actual profit	-
Monthly profit variances add up to full year	-
Overall status	**OK**